Is the Stock Market Now Too Big to Fail?

Podcast: Know your risk

AI Executive Summary

Core Thesis

The episode delves into the complex and often degenerate state of the financial markets, particularly focusing on the AI sector. The speakers argue that the market's current behavior is driven by political and economic factors rather than fundamental economic realities. They highlight the lack of proper price discovery mechanisms, with markets being manipulated by political and financial interests. The discussion centers on the AI sector, which, despite its volatility, continues to attract significant investment, while other sectors are struggling. The speakers also touch on geopolitical tensions, particularly with Iran, and the potential economic and political implications of these dynamics.

Key Arguments & Data

- **Market Structure and Degeneracy**:
- **Speaker 04** and **Speaker 05** argue that the current market structure is degenerate, with excessive gambling and speculative behavior driving asset prices. They point out that the market is not functioning as a proper price discovery mechanism but rather as a political utility.

- **Speaker 04** mentions that the market is currently in a state where the path of least resistance is likely higher, but this could change if significant events disrupt the current dynamics.

- **AI Sector Analysis**:

- **Speaker 05** notes that the AI trade is volatile and that the market is treating it as if it's in the same state as before the recent events, despite the injection of real substantive unknowns.

- **Speaker 04** suggests that the AI sector is not fundamentally driven, with tech companies' performance being more influenced by market

sentiment and speculative behavior rather than underlying fundamentals.

- **Economic and Geopolitical Context**:

- **Speaker 05** discusses the impact of the dollar's strength and rising interest rates on various sectors, particularly tech and Apple.
- **Speaker 04** and **Speaker 05** highlight the K-shaped economic setup, where the richest are benefiting while the middle and lower classes are struggling.

- **Speaker 04** and **Speaker 05** also discuss the potential for a significant market correction, given the current valuation levels and the historical precedent of such events.

- **Political and Economic Implications**:

- **Speaker 04** and **Speaker 05** discuss the potential for a hiking cycle and its impact on the AI sector, noting that higher rates could squeeze smaller companies and consumers.
- **Speaker 05** mentions the ongoing tensions with Iran and the potential economic and political implications of these tensions.

Actionable Takeaways

- **Risk Management**:
- Investors should focus on risk management strategies and consider diversifying their portfolios to protect against potential market corrections.

- **Speaker 04** and **Speaker 05** recommend taking a long-term view and investing in assets that are not connected to the current market dynamics.

- **Market Sentiment and Behavior**:

- Investors should be aware of the speculative nature of the current market and the potential for sudden shifts in sentiment.

- **Speaker 04** and **Speaker 05** suggest that investors should be prepared for significant market volatility and consider strategies that can protect against such events.

- **Geopolitical Considerations**:

- Investors should monitor geopolitical events, particularly those involving key global players like Iran, as they can have significant economic and market implications.

- **Speaker 05** recommends keeping an eye on events like the PPI and bond market movements, as they can provide insights into market sentiment and potential shifts.

- **Preparation for Market Corrections**:

- Investors should prepare for potential market corrections by building a framework for how to think about the AI trade and other speculative sectors.

- **Speaker 04** and **Speaker 05** suggest that investors should be prepared for a significant market correction, given the current valuation levels and historical precedent.

- **Educational Resources**:

- The speakers encourage listeners to follow the podcast and participate in the upcoming webinar by Zach Abraham, who will provide insights on preparing for 2027.

Diarized Transcript

SPEAKER_04: You think you got a market that has actually functioning properly and is a proper price discovery mechanism? No, you don't. You have a political utility.

SPEAKER_01: Inflation, interest rates, AI spending, midterm results, you name it, you can't control any of it. But there is one thing that you can control, and that is how your retirement portfolio is positioned for 2027. Join Bulwark Capital's Zach Abraham for his free Taking Control live webinar November 19th at 3.30 p.m. Pacific Time. At our webinar, we'll review the forces that shaped this year's markets and what we're watching as investors head into next year. Bulwark is focused on risk management. always looking for opportunities to lower your risk, lower cost, and give your retirement as much upside as possible. You can't control what happens next, but you can control how you prepare for it. Join Zach's Taking Control webinar November 19th, 3.30 p.m. Pacific Time. It's live and it's free. Register now at knowyourriskpodcast.com and subscribe to Zach's daily podcast on YouTube and at knowyourriskpodcast.com. That's knowyourriskpodcast.com.

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involves risk and possible loss of principal capital. Please seek advice from a licensed professional.

SPEAKER_04: And we are back with another edition of the daily dots and I'm joined as always by the brain trust himself. Mr. Chase Taylor, uh, core weave limit up AI trade back on micron rip it. You know, all the usual suspects, everything we were afraid of last Thursday is no longer a problem. Um, interesting. You and I were I'm not at all surprised to see this kind of rally in the AI trade. We're expecting it. But I'm at a point, I don't know where you are, and we'll go through the rundown here. But I'm at a point where, based on where markets are at and where these trades are at right now, like to me, the game starts here. I'm really interested to see where we're at. Because I mean, just looking at market structure, looking at the indexes, looking at charts, I mean, If you're going to see some material downside in these names, you know, they're going to give you the best fight. You know what I mean? They're, they're not going to go down a lot of fight. And so it just made sense that you'd very least come up and test this range. Now we're at that level on the charts where I'm like, okay, it's, if you move significant, if you move higher here with any real commitment or any real thrust, it would suggest you're breaking out. Um, but I'll leave the charting up to you. Yep. So we'll do the rundown and talk about the

SPEAKER_05: the important charts here. The S&P up 1.3 on the day, Q's up 2.3, Equate was up 0.8, Smalls up 0.9, Max 7 only up half a percent. It was kind of notable given everything else on the day. AI trade up about 5.3 using my proxy. All World X US up 0.9, which was nice given that the dollar was at 0.7. And a lot of the It's so weird. Like when you have these days where the the dollar is up a lot, if one of the dollar proxies doesn't react to it, none of them do. So you have that today because, you know, all world X us really nice day despite dollar up and a lot of the other things that usually don't like the dollar didn't care as well. Inside of Mag seven was actually for once really boring. Nothing moved more than three percent either direction. Oil up kind of like point four, but better out on the curve. And there's obviously every day we have a bunch of annoying news to talk about there and we do again today. It was honestly a little surprising what was up given the news flow maybe but no sense in talking bonds because they did not trade today. Gold down one silver up one gold miners down

about one and a half. You know what's another weird one today? Apple up almost 2% while AI is rocking. That's Yep. That feels There's a lot of couple weird things today as one of them So that's why I don't trust this yet. You mentioned like the game starts tomorrow kind of thing. So if you look at SMH literally Directly on the the line where you're like the breakdown line that becomes the new support Line if you keep moving higher like that whole thing. You're right there Not too dissimilar from core weave your back to like the summer low the nasty spike low DRAM same thing you're back to the spike low from the summer One that the only one that like of these little AI trades that kind of watch that looks genuinely supportive already is bloom The rest are like you got to prove it and this goes back to what you know I've been harping on really for the last I guess week especially but but even really month this whole episode was just one giant lesson and if you don't know what systematic stuff is doing, what the market structure is doing to you, you're going to have a bad time where like, especially over the short run. Yeah. Like bulls have thought they were geniuses and then bears did, and then bulls did, and then bears did, and then bulls did. And the reality has been low, low signal, high noise. Like the Thursday puke in my opinion was, was mostly market structure driven, tons of force selling that had nothing to do with anything other than, Oh, I have to sell this. Today the last two three days has been really more of a gamma squeeze. You got short gamma Enough went up to where you they had to chase so you've squeezed your way v-shaped squeeze like I talked about right back out of short gamma Negative gamma. So now you're probably neutral gamma. It's where it can kind of go either way there Systematics basically are now largely empty like which means ahead of you above you You just layered in vol control blue tickets and, and CTA blue tickets. So now you can, you can kind of do the stair step, grind higher thing unless something interjects itself to scare people. Again, the AI trade is volatile as it has been shows two things. One, you know, obviously everyone was levered up and things go bad when lever people have to sell. But two, one thing that really shows me is everyone's terrified to be a bag holder in it. Cause it Everyone I don't care who you are. There's a part of you is like, oh this this might be bad But equally it's like the two wolves thing like everyone has the other side. That's like this could be The generational money-making opportunity and I can't miss it. So you got Yolo and massive fear all in this same trade So when it starts working everyone jumps at it,

but when it stops working everyone sells it So you're it's like the old Bugs Bunny and Daffy Duck, where they just keep ripping off duck season, you know, rabbit season on the tree. That's the way it feels with Bull Bear for the AI stuff. And my two most important proxies, dead on the make or break area where the chart broke on the downside. Yeah, it's an interesting place because at the same time, you've got nasty inflation reports, rates moving back. I'm interested.

SPEAKER_04: Got my popcorn ready. I'm interested to see what the bond market does tomorrow. Dollar ripping higher. This is not a constructive environment for multiple expansion. And you're looking at stocks like Apple and you want me to believe the story going forward is you're going to multiple expand here. I like just, it's a hard one to swallow. It's a really hard one. I feel like Apple's like its own thing now. Like it just, it's a joke because for the market, you're not getting multiple expansion. And even if you grind higher from here or not, you talking

SPEAKER_05: 30% earnings growth this year 20 next year that takes a lot of upside to not have You know a lot of compression. Yeah. Yeah in valuations. Yeah, so you yeah I mean Apple can do it but like the average Apple can do it because no one's paying attention and because people are hiding in it Yeah, it's just yeah, it's dawn. I'm just it's this Going through phases of like this with this market. It's just really frustrating and really grinding because

SPEAKER_04: Like you said, everything matters except the things that actually do matter. I will tell you though, look, I feel very split about this market. I've put a gun to my head. I think you resolve higher just because why not? Like I said, I'm really interested. The dollar and rate, if they're not concerning you, I think you haven't done this job long enough. Now, that being said, I think the dollar rates could keep moving higher with a squeeze higher in AI names. Because look, AI names don't care about reality. Let's put it that way. For most of this year, tech didn't care about the dollar. No, it doesn't care. But yeah, everybody has agreed that these stocks are non-financial. Now, it's amazing, though, how all of those conditions will impact a tech company anywhere else in the world and their stock price, but not here in the US, right? To be fair, if you're growing at 1,000%. Do you care

if the dollar index is up 8% or something? No, I mean, no, no, that's a good point. But there's a lot of these companies that aren't, that are getting treated, getting lumped in with them. And it's just the whole thing's ridiculous, right? If you're one of these companies that's got those growth metrics, I could say, yeah, I mean, like, whether your discount rate is at six and a half or five, ain't gonna matter to Micron's quarterly results a year from now, right? There's just a lot of things getting thrown in there with that, where investors are acting like that applies to a bunch of these things. It doesn't. It certainly doesn't apply to something like an Apple. But again, you can add that to the list of the Costco's and Walmart's that have traded at ridiculous valuations for long and nobody seems to care. Having said that though, I will go back to the thing that I think a lot of AI bulls are missing and they're treating this just like another fake scare V-shaped recovery. There has been real substantive unknowns injected into the trade. And the market is trying to act as if it hasn't. It's treating this like any other liquidity scare. And look, I'm not saying that that thing will end up disrupting the trade. I'm saying that for the first time, you have serious unknowns injected into the trade. And the market seems to want to act like you haven't. I got a problem with that. And I will be shocked if that uncertainty does not reassert itself. by way of market prices at some point in the not too distant future, because it just has. And I know it's made a lot of, which you could easily say is a bullish sign too, but I know it's made a lot of AI bulls that, you know, that are sober minded, at least pull back and go, ah, this could be an issue. Not saying I'm going to sell everything, but this could be an issue. And we'll be like, I think we've said that multiple times. It will be an event of some kind. The question is, is how much impact?

SPEAKER_05: And the market is trying to act like it's in the same footing that it was prior to last Tuesday, and it's just not. There's uncertainty here where there wasn't before. But the weird thing is, maybe not necessarily from a pure market standpoint, short-term or whatever, but slowing it down, I know I've said this a million times, but it could be the best thing that ever happened to it. Oh, yes. Of course. In a weird way, we've seen some of that in the market action where the market was treating this like,

SPEAKER_04: I know, but you they're going to help you not screw yourself up here. Yeah. But I mean, it's then you should be seeing a bigger

bid on the hyperscale. It shouldn't be running the things up that it's running. And that's where I'm just saying, I mean, that's the other thing that tough is really tough about getting signal out of this market is there is so much degenerate gambling type activity. There just is. And I'm not making excuses. It's just it's like we've said, it really is hard to trust the price action one way or the other. And it really feels like you're flying blind here. Because I mean, clearly, no one's breaking out. You know, obviously, there's greater and I'm just saying this is not a fundamentally driven sector. The way investors are investing in it, right. I mean, meaning, you know, when you watch these names moving in 15 to 20 percent daily increments, the value of those things is not really trade. It tells you you got a market that's just all over the place for a million different reasons.

SPEAKER_05: Right. And some of them are legitimate too. Realized vol has jumped a bunch. While vol has collapsed. Because people were bad risk managers and they had to do force selling because you got negative gamma. And because you had an election that changed some results and made people make some trades. But that's the way markets work.

SPEAKER_04: Eventually people make all the adjustments need to make and things can calm, calm back down. I'll tell you what we're in that process. I'll tell you what sticks out to me today for a variety of different reasons. And I think it's probably driven by the CPI results, but it just really sticks out to me today. Um, that dollar move, you need to be paying attention to this. This, I feel like the Kurgan's got that look in its eye again. You know what I mean? Yeah. So the, the, for me, my, you know, the way I draw my lines with the crayon, but one Oh two 85 ish.

SPEAKER_05: was like was it kind of top of the range and then bottom was like 101 50 call it your your your precedent trying to take out that top one which you would assume means now you take another step function higher up into the 103s or whatever which would be you know a new level of you know headwind for some stuff that we haven't had in a while that would it could you have to go back to to early 25 to get you know back up to like 103 104 and this sounds perverse but

SPEAKER_04: Conversely, I think it sounds perverse enough to actually have a good shot of being something that actually happens. Be prepared for

those fundamental folks out there. Be prepared for a dollar surge significantly higher and higher rates driving people into the AI trade as a safety trade. Yeah, or Apple. Yeah, or Apple. No, I'm just saying. Yeah, that was the reason I was so felt so strongly at the dumbest time possible to like put on some tech right tail hedges was

SPEAKER_05: going into whenever I wanted to do that, whatever it was a few weeks ago, like the top call it, um, was ironically you were, you were watching. Ironically, you'd be trading flat on them now if we just held them. The one thing that didn't care about like dollar rates, oil, diesel was tech. It was just like, cool, whatever. And you know, that just really stood out to me. Like you can't just go buy in small caps and miners and you know ex us stocks we love it all just gets punched in the face by the dollar and then i'll go over to tech and they're like we don't care nope so it makes it a unique us potential us tech us tech and korean tech well it's got to be associated with us the usa i trade if it's not we've determined that that all trades by different rules yep and to your point like the the east asian exports of this stuff are completely insane like so some of that stuff can get right back to having a good time

SPEAKER_04: like Korea, you know, some of the individual names in places like China, you know, Taiwan, Thailand, you name it, like can do great. It's just the rest of their markets will not, that's for sure. No, and therefore, and those markets are trading completely divorced of fundamentals. We can see with KDEF. There is divorce. There is divorce from fundamentals and pricing and. You know sensible pricing than the US is it's just on the opposite end of the spectrum I think you could actually make an argument that the is crazy as US markets are I think that They look more accurately priced than a lot of these other international ones It's just really interesting how these rules only apply to certain stocks, right? investors have determined that these rules just don't none of it applies to the US and You know, that's another thing to add to your list of concerns when investors decide that things like rates and currencies don't matter you're not in an undervalued market. You're not. You don't have a market that's concerned about risks of any kind. But I mean, that's been a hallmark of this market. This market has been a bastion of degeneracy for quite a while. It's

just getting more and more like that. And you see the moves and the prices and the price action, all that kind of stuff. Nothing would surprise me here.

SPEAKER_05: I will be really interested to see how the next couple of days play out. Like I said, I think the path of least resistance here is probably higher, especially since we actually get some, some signal reinjected because you know, you had basically a nonsensical puke and then a nonsensical rally. Now all this stuff kind of like evens itself out. Vol can chill out on a realized basis and probably on a forward looking basis too. And everyone can further digest earnings because that's wrapping up. We have nvidia next week, which you know big deal but um You're getting more clarification every day on the ai trade from a fundamental standpoint From a policy standpoint so like everyone gets to like start injecting some signal back into the market instead of just You know, what are what are the options dealers and the pod shops? Uh and the cta is up too because that that's that's been a big part of the market for the last week I hate to say like

SPEAKER_04: And we don't, we don't have a position in this, but I hate to say that. When's NVIDIA announced earnings? Next Wednesday or Thursday. I think it is. I really feel strongly that stocks will buy at least on a short-term basis. I mean, it ain't expensive. We were talking about yesterday, 10 times the next 28 earnings. I know, but you're missing the signal in that. You talk about missing signal from noise here, pal. When I say that, you're supposed to be shorting it immediately, right? Like that's the way this works. You're missing the other part of it here. I mean, to be fair, like they might say something.

SPEAKER_05: on fun that earnings about what's going on with this stuff. So like, who knows, but I'm just hearing the earnings results and some of these other people around them. And I'm like, Oh, they're they're going to be fine. Yeah, they're going to smoke. Right. Now, you know, if if you lose all the smuggling, they clearly help facilitate, like, how much does that hurt? Like, does all that demand from how much do we think? Have we seen enough to where we can definitively say we got a smoking gun, it looks like they were absolutely facilitating smuggling. No, I don't think that's fair to say. Okay. I mean, I didn't. Yeah, I don't know the way you said that. I don't think you can pin them down on like 100% to something

criminal. There's just a lot of stuff that is wildly inappropriate to happen. But even if you X out that revenue, again, I don't think I don't think I don't think anything, I would be shocked if anything materially financial took place as it relates to Nvidia. Now that doesn't mean they're out of the woods. Almost a fourth of their revenue was billed to Singapore. If you go back to last year, that's where all girls business was. There's a lot of chips in China. There were people reporting on this a year ago. Like, hey, we went to this warehouse. No, it was a joke. It was a joke. I remember that. I hadn't. I didn't. I just remember that. I just remember. I think I highlighted it last year. The Singapore numbers don't make sense. They don't have that many data centers. Singapore is like this big for people scoring at home. Yeah. Small. Also not the cheapest real estate. No. It's not a great data center spot. No, I'm not saying they don't have their they do have no, but I mean if you're gonna go if a quarter two percent of a video so right right a quarter of their chips, there's no way and he was like Going out of his way when people are like what? 22% Singapore and he's like, oh, yeah. No, no, that's not none of that's going to China and he's like, bro Some of that's going to China now. I didn't think he played any role in that until on Nepal until lately, but Bangladesh. So again, the headline risk is still there. Now if they can redirect all those sales to other people and it's no, no problem whatsoever. And no one's going to put them in jail or anything. Sure. But 22% a lot. That's a lot. Yeah. That was the quarter ended July 27th. That ain't around here.

SPEAKER_04: No, and I'll tell you what it's you're back to this and I mean in every when I say the service gonna be like Yeah, where have you been Zack? Of course, but no, it's back to that triple Q's problem. Meaning when you're a money manager in an environment like this, right? The thing that will get you fired the faster is if the AI tree continues to go higher and you don't have a piece of it, right? And you don't like that's it's death. Yeah, I mean like equal weight S&P at a nice time against like the Q's

SPEAKER_05: But I mean just like that and it wasn't it was a really nice bounce like that was a nice trade Just like I mean if China versus us was a really nice trade for like two weeks But now you are you're already in a you know, four percent drawdown on Equal weight S&P again. Look, it's no look If equities are gonna work in and if the dollar and rates keep doing

what they're doing AI is getting AI is gonna be the only thing that works If, if it works, it has to play, it has to play a serious role. That's for sure. You can't have a chip bear market and an S and P bear. No, AI is the only sector in where investors don't think any of these things apply. None of these things. Well, that's why Chinese tech stands dollars up. You know, meanwhile, yours is up 6% on the same day, but those rules don't apply to you. This stuff's like half a market cap, but more than half earnings growth. Right. If it stops working, we have a problem for a while. You, there's a big digestion period.

SPEAKER_04: where you have to hand the market off to a bunch of other stuff. And the best, the best bet in there is basically flat. So it does. I will say this though, on the flip side, it does feel to me like it's at least over, like for the foreseeable future, let's call it the next 12 months. It does look to me like the market has aired on the bearish side with a lot of these names, meaning, um, because they keep selling stocks. Look, man. And I look, I am, I'm like an aspiring perma bear, meaning I always have to fight that part of my nature, meaning looking at the downside. And I hate admitting this because I want to be bearish this stuff. I just, it's, I have such a hard time being long. The thing that everybody wants to be long. Just, I just have a tough time, too tough a time at times, right? Making it too tough for myself. Um, to me, that's why I like, when it comes to this whole phenomenon with AI and AI investing, it has, it has required a couple things.

SPEAKER_05: One, you better build a framework for how to think about it. And then two, you better update that framework literally every day with what new information comes in and you better, you know, hold yourself to the way you think about it. Like a good example is like I've watched Bulls and Bears both just wildly move goal posts now. And then and then there's other people that aren't really able to bear.

SPEAKER_04: They just, if the price action's good, they move their goalposts to meet that. And if the price action's bad, they move their goalposts to meet that. That's why, like, the framework has to be there so you can hold yourself accountable. Well, look, I'm probably marking the top, but that's why I keep coming back to this whole thing. When I listen to bull bear arguments, bulls are arguing for a continuation of more of the

same. Bears are talking about what might happen. Whenever I see that set up, and I'm sure there's examples of it not working out this way, I will just tell you, disproportionately, the vast majority of the time that the bulls end up being correct, right? A bear can always concoct a story. And that's the issue that I've got with this trade, which is it's not about we're saying, you know, one side saying it's gonna work and the other side saying it's not, it's working. It's working in the historic fashion. And I gotta see something get in there and disrupt that. Now on the chip side, could the uncertainty election? Yeah, I can cause a lot of these things into play. I personally, like we've talked about, I do not think, regardless of what politicians say, that they're going to get in the way of that moving train in such a way as to derail it. Now, like you said, they might slow it down, which will actually could extend the cycle and make it less bubbly and all that other kind of stuff. And I'm totally open to that concept. I just think that you're looking at a scenario where, again, if I got to bet either way, I think this stuff's going a lot higher. It seems like the path of least resistance. I don't see these earning numbers coming in for any of these and disappointing intervals. I'm not seeing anything in the earnings numbers that are telling me that there's anything slowing down. I'm not seeing any evidence of demand slowing down.

SPEAKER_01: I mean, the Nvidia thing is certainly something to keep an eye on. Inflation, interest rates, AI spending, midterm results, you name it, you can't control any of it. But there is one thing that you can control, and that is how your retirement portfolio is positioned for 2027. Join Bulwark Capital's Zach Abraham for his free taking control live webinar November 19th at 3.30 PM Pacific time. At our webinar, we'll review the forces that shaped this year's markets and what we're watching as investors head into next year.

SPEAKER_04: Bullwork is focused on risk management, always looking for opportunities to lower your risk, lower cost, and give your retirement as much upside as possible. You can't control what happens next.

SPEAKER_01: But you can control how you prepare for it. Join Zach's Taking Control webinar November 19th, 3.30 p.m. Pacific Time. It's live and it's free. Register now at knowyourriskpodcast.com and subscribe to

Zach's daily podcast on YouTube and at knowyourriskpodcast.com. That's knowyourriskpodcast.com.

SPEAKER_05: The opinions expressed in this program are for general informational purposes only and are not intended to provide specific advice or recommendations for any individual or on any specific security. Any references to performance of securities are thought to be materially accurate and actual performance may differ. So we'll say one thing that we haven't really talked about too much. So there's one thing to do one or two rate hikes like nobody cares. But now we're talking about doing a 50 basis point potentially. And then instead of this being like a all right, we threw a couple of hikes at calm everyone down. If this turns into an actual hiking cycle, now that requires us to be dumb enough to stay in Iran for another six months or whatever, but that feels like it'll happen. So if you get a legit hiking cycle, I think you start losing the ability to say AI doesn't care about rates because AI needs lots and lots of funding still. Nobody cares that disagree. The reason Corey is up a million percent today is because they offer some clarity on financing through the next year. Everyone's like, Oh, thank God they'll have enough money next year. Well, I know, but they don't control all the areas of finance. I mean, no, but the point is if they best laid plans, man, if you look at their situation, if you cut off their funding, they're dead. Yeah. So if the cost of capital keeps ripping, the marginal players lose. They, they're, they will get taken out. I'll tell you, here's the other thing. It's amazing how these things compound on each other. You want to talk about a K shaped economic setup you've got right now.

SPEAKER_04: Diabolical. So the guys, the richest hands in the world are going on the greatest land grab and greatest money spending spree of all time, which is no question spurring the inflation, which is going to require higher rates that are going to squash smaller companies and consumers while those guys continue to rake in record amounts of money. It really is incredible how these things just keep compounding, right? I mean, you're capital K now. I mean, this is all K.

SPEAKER_05: Yeah, and they and they need your electricity and you're you know, they're gonna drive up your power prices at the same time We're eating ourselves and it's literally designed to take your job. So, you know

It's it's a thing where like there should be a lot more policy Oversight and thought going into it some strategic thought for the economy. I know I still come back to you like silly rabbit if you There's so many things that

SPEAKER_04: are less powerful than AI that we would never in a million years consider letting just be like, go ahead. What's the rules? There's no rules, man. Just get out there, just do it. I think it's one of the risks. I think it's one of, and look, it's always been like this, but again, being on the inside watching it, it is crazy to me. And again, I do this for a living, so it's weird to even say it. It's bizarre to me how. important and how focused everybody has become on asset prices, the over financialization of the economy. It's have you heard there's no way to have Jim Carson on. And the reason I bring that up is you've got everybody trained. Well, yeah, but price markets going higher, man. So that's good. You know what I mean? Like it just right. The way I view it, the way I view it is it is money.

SPEAKER_05: is now it's like the state religion in the United States. Yeah. And like the gambling dens, which isn't isn't just the casino down the street in Cauchy, but it's also, you know, we bowl. And like, there's a million like small brokers you've never heard of that are catered to degeneracy very much. Obviously, Robin Hood got famous for exactly that. I mean, this is pervasive. Yeah. That's like the church right in the national religion is money in the church is like the gambling dens Which you know, it's in your phone not not a place Like Jim Carson was just on Grant Williams. He has this like thesis essentially that oh, yeah, they're they're gonna not they're gonna like quadruple down on asset prices as the way as a way for the US to like get through this and Like I first of all couldn't listen the whole thing, but I'm not saying he's wrong and that won't happen Not what I mean. It's the path of least resistance. What I will say is the dumbest, most destructive thing that we could ever do is take what is already problematic and then just bet on it. I agree. But look, but I mean, look, when you start extending Trump accounts to grownups and stuff, that's going to be the sign. You made a Faustian bargain coming out of 809 and Bernanke set it writ large, right? We're trying to stimulate asset prices.

SPEAKER_04: when you make that an economic goal, it will become an economic goal. And then you utilize it. Yep. And then the market becomes a

utility rather than a price discovery mechanism, which encourages all this other crap that we're talking about, the modern bucket shops, the leverage, the explosion in the options and derivatives market, people getting taken out to the woodshed, right? You've taken and I mean, we're yelling at clouds to a certain extent, but it's true, it's true. We're already riding the tiger we can't get off of without getting eaten probably, but that will make it a hundred times worse. They're going to keep juicing it though, because it's the easiest route. And the reason why I say that is when you take that route, there are still winners, right? Even if those winners, there's, well, my 401k account went up 18% last year and you're looking at them going, guys, that doesn't even touch what your quality and cost of living did, right? You don't have enough assets. for 18% a year to keep you out ahead of this thing. And you can't do it because you, you, you rip the K until it tears, tears in the middle. Right? Well, you could make an argument. It's starting to tear. Of course. The median voter doesn't care about that because he offered the median voter five G's and they were like, no, thanks. The other thing, the other thing is when your stock market gets to 250% to GDP, that's a plane. You can't land when what are you going to do? Right? What are you going to get tough? and get sober and nuke an amount of wealth that's more than the entire size of your economy. You know what I mean? That's what a 40% pullback on the S&P does, right? That is the vaporization of what amounts to 100% of the entire size of our economy and household wealth. That would be a 40% pullback. To be fair, the spooze though, that would be like 10 times forward earnings, which would be pretty good. Yeah. I mean, but the crazy part about that is that's still three and a half X more than it was trading at 1981, right? At record earnings and record earning margins. And we always say, you know, when do earning multiples look at the absolute cheapest at market peaks? And I'm not saying we're there. I'm just saying, I'm actually, I'm making the argument that I think I agree with Jim. I think that, I think, hey, the path there and the sequence of the down markets and the hits and the downside ball, you can't determine that.

SPEAKER_05: But what is the path of least resistance? I think you probably go a lot higher. I think he's right. All right. We're in massive, massive trouble if we do. That's what I'll say. And the whole point of this was to couch it in like, this is the only way we can reindustrialize, compete with China. Well, I take the exact opposite. No, it's preventing that. Exactly.

What got us in trouble was financializing. We should have learned that lesson in 08-09.

SPEAKER_04: You want to know why you had one of the weakest recoveries on record? Because you set up an environment where financial chicanery paid better and made a hell of a lot more sense than real investment. That's why. And our attitude, hey, when that goes sideways, we need to do more of it. And you're like, and the reason why is because it's a hell of a lot easier to get reelected when the spooze is up 18% on the year. Meanwhile, trying to take care of less what the stock market does. And they're actually building out a real underlying economy.

SPEAKER_05: Mean talk about building your own prison. We're doing it right now And then and then you you we've already reached point where it's very very painful to to let go of that wheel But if you do like anything close to the level he's talking about then you literally can't without You know a depression you may not be chased you may be there right now I think you I mean I think you let the air out here think about what I'm saying though think about what I'm saying It and it's truly historic because we've never been close to this

SPEAKER_04: At no point did a 30 to 40% pullback on the spooze wipe out household wealth that amounted to 100% the size of your economy. That is crazy to say. Meaning, you can make the argument that a bear market is a national security issue. Oh, they absolutely look at it that way in DC. They know that. They practice that. Yeah. I know. So what does that mean? You think you got a market that has actually functioning properly and is a proper price discovery mechanism? No, you don't. You have a political utility. Yeah, it's fool's gold is what it is. And I don't think you need to sit around and talk about it becoming that. I think you're there. Yeah, of course. Yeah, you're there. And that's why honestly, there's no point in looking for the moment the passive rolls over because when pass rolls over, they find a way to stuff more things and passive. Yeah. And that's what makes times like these so tough, right? What is the right long term? thing to do, it's to buy assets and things that are not connected to that. Here's the tough thing over the short period of time. And that it's indefinite, meaning if you do that, you will underperform. If this keeps continuing, that's, that's

the quandary. It's the life we've, it's life we've chosen. I won't complain. This is all depressing. Should we do some straights of our lives? Talk for a second about that. Yeah, I mean that that'll really that that'll really let's let's let's cheer the mood. That'll really that'll really lighten the mood. That'll really dress things up on it. We like we I'm we should add like intro music to this, like something really good soap opera, you know, where you got that little bit of organ, little piano, really dramatic feeling. So these are the straights of our just that's more some high production value. I mean, at the end of the day, they keep tapping the sign of the seven conditions. And until that's met, they don't none of it matters.

SPEAKER_05: But then we got today, like, yeah, like JD Vance has opened a meeting, you know, in Qatar with, um, Reza, I, Rezi, I don't know how to say his name, um, who will be like the new principal. And if you listen to that guy, that guy's just been like stiff arming everything that comes out of the U S for the last week. But then wall street journals like, oh yeah, Vance is going to go meet him. This is going to be great. The president said he could, and it's like, okay, is he going to go? You know over there and say yeah, we agreed of the seven conditions because if not then we're not talking about anything like so I just think it's more of the same like Just more job owning to try hold oil as low as possible. I long as possible I'm more open to the idea that Trump's stance has softened And what I mean by that is that I'm not convinced. This is the case Um, but I think it's more and more evidence comes out. It's really clear. And I know you agree with this to some degree, but I think it's really clear that he did not have a very accurate understanding and I'm not. If he dips now, everything gets better financially, economically, and it looks like the Democrats did it. That's a, that's rough timing for him from a PR standpoint. Not that there's a good way to do this PR wise because there's not, but that would look, that would look weird though. They may, they may do it with the purse next year and they may force it, I guess. But well, I kind of doubt it. Like they couldn't impeach Hegseth. I'm not sure they could impeach him even after they sat all their new people. Oh, Massey didn't get the votes to do it. No, they didn't even didn't even like didn't get out of the starting block. And a bunch of Democrats helped shut that down. So the thought that all those people are going to flip to, like, why let's actually starve this

war of money. Like, why did the Democrats have? So that's interesting. I just did thought.

SPEAKER_04: you know, not enough, not enough there to actually, well, I'll tell you what I've long thought this since the election. If I'm on the democratic side, I hope the Iran, I hope the Iran thing continues right up until 2028. They went in a massive landslide. If it does that, that's kind of obvious, but which is why they might be against pulling the plug on Hegseth. Yeah. Or the war itself come January, February. I mean, that would be my attitude. I mean, I, I'm my cynical attitude. I'm being really cynical, right? But

SPEAKER_05: Like if you don't think the vast, vast majority of our politicians aren't cynical, like I got a bridge to sell you some of the most cynical people you'll ever meet in your life. But they're also not very strategic from party levels. So they may not be able to coherently think as a, as a structure that way. Yeah. That's more true today than that's something I have to remind myself like every day. Like I think of like before the party bosses, what I would do is like, yeah, in reality it's just like individual ants running in every direction. They don't care what you think.

SPEAKER_04: They're just trying to win their own stupid election and get money and like all this goes back to 3d chess philosophy, right? Do you know what I mean? Of all the times i've been sold well, just because you don't understand. It's like the deep magic. Remember remember remember lying the witch in the wardrobe. You ever read those? No. Good god, man. He's like a european. Sounds like i'm really missing out. Sound like a pagan that grew up in east labia or something like that. I mean come on. Anyway, they talk about the deep magic, right? Like it's it's it's Not just regular magic, the good stuff. Well, it's like a it's like a euphemism for spirituality, right? It's it's the whole thing is like a construct of Jesus's experience and the the lion is depiction of Jesus. Anyway, that's the way the old books laid out. But it's like it's like the deep magic. I don't know where I was going with that, but I don't know. We should probably name this show Deep Magic, a primer, a primer, deep magic full stop. It's impressive. That's the tagline. It's impressive. That's a shout out for path there. Okay, so straights of our lives, you're not convinced he's softened as low. I think the dismissal

of Susie Wiles is a thing that makes me think that he might've softened his position on that. She seemed to be a choke point for, again, trying to read through the tea leaves here. Yeah, nothing about Stephen Miller says, take the loss publicly to me. I would agree with that. I would agree with that. I mean, he's pretty hardliner, right? That being said, I know that there are a lot of people that would still describe themselves as Trump allies that were in the administration that targeted Susie Wiles as a significant bottleneck for information getting to Trump. Yeah, I think that I think information doesn't make it to him because he doesn't want it to not not for other reasons. I think he takes bad news for so poorly that you can't really deliver it. I think both things can be true at the same time. I agree. Right. And when things don't go the way that he wants, he is going to disproportionately and overblame other people that he previously was rewarding for doing precisely what he's punishing now. Right. If he, he might eventually smoke Hegseth and blame him for the whole thing, even though all along he said how great they did and we won and everything. Yeah. Right. Um, the, the, I guess the, the part is though that you go back to the, you go back to the setup and for people that don't understand why we were opposed to the Iran thing all the time, like with each passing day, their leverage only grows. Especially when they get to see the fruits of their labors from a political standpoint, America. Well, I mean, if you, yeah, like you look at the way it's gone for Trump, you look at what they've, you think that they're closer to capitulating in any way, shape or form. So like we've said from the very beginning, and we're open to the idea of being wrong. You just saw no way out of this without him taking a big nasty L that he's got to realize. And I just, I still think that's the way. Now, will he try to spin it? The thing I think might be interesting is, could you concoct an L type solution that sounded less like an L? If you could, that would have happened six months ago. You could get the Iranians to go along with. And no, I tend to go, I can't, it's hard to think that those offers or those olive branches haven't been extended in some way, shape or form, you know, like, Hey, help us help you type deal. Right. And I think Iran's looking at going, Nope. And they used to play ball with us heavily.

SPEAKER_05: And I think they are still are to a degree. Well, sorties. Or at least taking, taking, you know, the payments to let stuff through the straight or whatever. Sorties have a way of dampening people's enthusiasm

for plant ball and killing all your leadership too. Yeah. Yeah. I mean, that can kind of sour relationships. Makes a little more difficult anyway. Yeah. Study show. So we still have no definitive thing. You know what? I am going to go say we're not going to have until Anthropic gets clean, smooth sailing through their IPO. I was speaking of, so it looks like the Houthis may have hit the East West pipeline and Yanbu again. So you could see some Saudi export problems cropping up again soon. No, not like fully verified yet where like they've admitted it and you have great imagery. More of the Houthis saying stuff though. They, they're more reliable than the Iranians when they say stuff usually. So we'll see. Good old yonder, man. You know, at some point after all this, now I really, I really

SPEAKER_04: Really feel a desire. I've always wanted to go to Iran, but I really feel a desire to go see these places now Yeah, but go, you know vacation a yonbu. I joke side I've always wanted to see a lot of these places but six of the really comfy went to Jordan recently and he posted some pictures from like a hike Unbelievable. Yeah, it's the I mean yonbu's the Riviera of the Gulf of the Gulf man Red Sea, sir. Oh the Red Sea. Sorry You're right geography slips me there's so many incredible places over there man um i mean lebanon i'm lebanese so obviously i've got a vested interest but talk about always i'd love to go yeah i'd like there to be i'd like to be a little quieter than it is at present i'm definitely not going in the summer i'll tell you that much no no it's in my case i should go back in the summer but yeah that's not i but yeah lebanon's not lebanon doesn't get i don't think it has the extreme temperatures though East Med's pretty warm. Yeah, especially during the hot season. But probably not as bad as in Arabia and Peninsula or whatever. Yeah, I got to get over that. Cuppy is such an internet. We got to have him back on again. I got to just have him talk about this thing. I felt like I was sitting there watching a Where's Waldo type deal. I mean, Cuppy's just making his rounds, man. He's living the dink life, man. No kids. He was in the Atacama desert. I don't even know where that is.

SPEAKER_05: Yeah. Like Chile, I think. Oh, okay. There. Um, and he posted this picture of a, uh, it was like a border checkpoint and it was like a shack in the middle of the desert. And he was like, does anyone know anyone that works here? They're having some delays in their paperwork to move through. And there's like four wheel drive through the desert. No

road. I want to be cuppy when I grow up. He's an international man of mystery. We got to have them on again. The other thing is chopping down his termite tree and I, and I, that's the other thing we both got to do. He's invited us, but we got to go down and see him in Puerto Rico.

SPEAKER_04: I've I've only been to Puerto Rico once, but I got to go down and see him see Brent down there We got several people down there would be fun to go see we should do that We got a we got a book that at some point indeed. I know cupsters always again having people Oh, yeah, which is coming up, right? Anyway, you got anything else? No PPI tomorrow morning could could be unfun. Who knows? We'll see I would expect it to be hot. Yeah, so it would be surprising if it wasn't Interested to see what we see out of the bond market tomorrow

SPEAKER_05: Yeah, I mean the dollar kind of told you it probably isn't down, but we'll see. I mean if I'm if I'm if I'm spitballing I'm looking at bonds and going I don't see anything keeping those yields going right back to where those local highs are. The only good thing for them like diesel is like 20% off the highs like that's pretty helpful. It's just that it's just that you know to me. That's mostly just like Congrats. You got some job owning like room. Is it gonna last?

SPEAKER_04: And Russian capacity is kind of coming back offline. So the other thing too, as I would say, and I think this is another thing you got to keep in mind. I think the cost for Trump backing out of Iran, I think the cost is getting lower. He doesn't have midterms to save anymore. He ain't running for reelection. I would argue the other way. Are you saying like that? Enhances the odds that he pulls out or or that he just kind of I could see it playing out either way Okay, for the same reasons. Okay, but putting aside what we think about Trump what you said, whatever if you just look at it now I'm not saying he'll interpret it this way and it's not all one-sided but the cost of leaving Iran and Calling no joy and leaving the cost of that has gotten lower than it was two months ago for him. I think the cost was I think it's the opposite. Like he would have had a chance to do a little better in the midterms if he got out of there. I agree. So he didn't take advantage of that opportunity. But what is his cost now? His cost now is that he's going to have to make an admission that he's eventually going to have to make no

matter what. Okay. At least if he does it now, he's got two years to try to pad his record and put some other accomplishments on the board. Now, again, I'm not saying that that's going to be his interpretation of it. But I do think that that's the correct interpretation, meaning the problem with his interpretation is he probably thinks he's winning. I don't think so. He's very, this is a guy that is extraordinarily sensitive to polls. And if you listen to what he said afterwards, he hasn't whispered an ounce of the elections being rigged. No, he has. He did actually. Okay. He knows he got his ass kicked. He knows he knows he went back completely in the other direction of saying that

SPEAKER_05: that it was rigged and there's problems and stuff. Well, he's always going to say that he knows. Listen, the first couple of days, though, like he said, like, yeah, we're going to accept the results. Like he was better about it. But the night of the election, there was some good writing about this, like how he had this huge party to celebrate the big win for them. And he 100% thought he was going to win because they kept feeding him the good polls or telling him that the polls were wrong and lying and biased and everything. And don't worry about it. It's going to be fine. So he was up in the residence. He was going to come down, make his grand entrance to the good news, but he's just watching Fox News and it's just spiraling out of control with all the Democrat wins. And he like never even went downstairs. Everyone just dipped out of the party early. It was like really awkward. So like in his head, he thought, Oh yeah, we got this. Like it's so strange for a man his age to be that blind to things like meaning. Yeah, I'm not putting, I'm putting myself on par at all with the president, but and look, I'm also fully aware.

SPEAKER_04: This isn't a hundred percent, you know, the it's not the efficacy rate of this practice is not a hundred percent But like the people that work for me, they understand that they're not gonna get in trouble From not telling me good news that I'm gonna give it really really upset if bad news is not I I don't it blows my mind and when I say that I don't mean it in a way to demean Trump or anybody else like that I'm saying that I would be so insecure in that setting I would be so insecure. What's scarier than not knowing reality? That's the thing I don't get, man. That's the part that really... How do you make decisions if you don't know reality? I wouldn't

want to sit there on election night and be surprised. When I heard what was happening on election night, I was like, yeah, it's kind of what I figured. It's like the Russian invasion. You knew. Everyone had told Putin, forgot this baby. And he believed it because no one told him. actually sir like this might not go well and here's the reasons because they were probably got executed or something but wisdom is really underrated yeah i remind myself of that all the time you know that's the trouble with dark and you think about it you're like i know for a fact sitting here saying the things that i've just said i've got blind blind spots currently this is life you're probably sitting there going yeah i know of a couple right no but just you know what i mean and and reminding yourself Keep sussing that out. Keep looking for that. The blinds, the bullet you don't see is the one that gets you. And that's the other tricky thing about success, right? It makes it harder and harder to see those things. And the more elevated, the more you're able through your own power and means to curate the environment around you, which is effectively what he's done, right? Putting people around him to sort of an echo chamber. The more careful you have to be because nobody likes to hear bad press. Right. And yet it's what you need to hear. More than anything. You should lead with it every briefing, right? And knowing is half the battle. There you go. Turn this thing into a PSA. Anyway, you good? Good. I'm good too. All right, you guys, as always follow us on social media. I'm at KYR Radio, Chase's at Pine Cone Macro. Get the video feed on YouTube. Just search Know Your Risk Podcast. You guys know the drill. Have a wonderful evening. We'll see you again tomorrow. If you're listening to Know Your Risk Podcast, download and subscribe to knowyourriskpodcast.com.

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